REPORTABLE (15)

ZIMBABWE REVENUE AUTHORITY
v
(1) PACIFIC CIGARETTE COMPANY (PRIVATE) LIMITED (2) THE MASTER OF THE HIGH COURT N.O

SUPREME COURT OF ZIMBABWE
GUVAVA JA, CHATUKUTA JA & MUSAKWA JA
HARARE: 26 JUNE 2025 & 16 FEBRUARY 2026

S. Banda, for the appellant

E. Mubaiwa, for the first respondent

No appearance for the second respondent

GUVAVA JA:

1. This is an appeal against the decision of the High Court of Zimbabwe ('court *a quo'*) dated 20 February, 2025 in which it granted a declaratory order and consequential relief compelling the appellant, *inter alia*, to issue tax clearance certificates (TCC) to the first respondent during the subsistence of corporate rescue proceedings.

2 This Court holds that the court *a quo* erred and misdirected itself in issuing the declarator sought by the first respondent. In particular, it erred and misdirected itself in finding that the non-issuance of the tax clearance certificate by the appellant amounted to an enforcement action in contravention of s 126 of the Insolvency Act [*Chapter 6:07*] (the Insolvency Act). The reasons for this decision are set out hereunder.

FACTUAL BACKGROUND

3 The appellant is a statutory administrative authority established in terms of the Revenue Authority Act [*Chapter 23:11*] (the Revenue Authority Act). It is vested with the mandate to administer and enforce the national tax laws, including the assessment and

collection of taxes. The first respondent is a corporate entity duly incorporated in terms of the Companies and Other Businesses Entities Act [*Chapter 24:31*]. The second respondent is cited in his official capacity as the officer responsible for supervising companies under corporate rescue.

4 Due to financial distress caused by arrear tax assessments in the sum of US$19 204 398.35 for income tax and US$330 140.26 for non-resident tax on fees (NRTF), the first respondent sought and was placed under corporate rescue on 20 September 2023 in terms of the Insolvency Act. It was to be administered by a Corporate Rescue Practitioner (CRP), operating under the judicial supervision of the Master of the High Court. As a matter of law, this intervention activated a statutory moratorium in terms of ss 126 and 146 (2) of the Insolvency Act. Among other things, all creditor claims and enforcement actions were effectively suspended during the subsistence of corporate rescue.

5 Following his appointment, the CRP as is required by law, developed a corporate rescue plan ("CR plan") and duly circulated notifications, ballots, and proxy forms to all known creditors, including the appellant, inviting them to consider and vote on the proposed plan at a creditors' meeting held on 3 April 2024. At that meeting, the plan was unanimously adopted, with all creditors, among them the appellant, voting in its favour.

6 Following the approval of the CR plan, the first respondent applied for a TCC on 2 January 2025. In response, the appellant's liaison officer advised that the application could not be processed because the respondent had an outstanding tax liability amounting to ZWL$1 million in current obligations. It also had legacy tax obligations exceeding the sum of US$19 million. The first respondent settled the amount due in current obligations only and did not pay any arrears.

7 Subsequently, on 8 January 2025, the first respondent made a follow-up enquiry regarding the status of the TCC application. In reply, the appellant reiterated its refusal to issue the TCC, citing outstanding pre-rescue tax arrears of over US$19 million in respect of income tax, and a further US$330 140.26 owed under the National Revenue Transition Fund. It further contended that no satisfactory payment arrangement had been concluded in terms of s 34C of the Revenue Authority Act.

8 The first respondent took the view that these pre-rescue tax obligations had been incorporated into the CR plan, which had been formally adopted by the requisite majority of creditors at the April 2024 meeting and that there was no legal impediment stopping the appellant from issuing the TCC.

PROCEEDINGS BEFORE THE COURT *A QUO*

9 Against this backdrop, the first respondent approached the court *a quo* on an urgent basis, seeking a declaratory order and consequential relief in terms of r 59 (6) of the High Court Rules, 2021. It argued that the effect of corporate rescue includes a statutory moratorium which temporarily suspends all creditor claims, court actions including enforcement actions, against the company. Accordingly, so the respondent argued, the refusal to issue a TCC amounted to enforcement action which undermined its rehabilitation prospects under the CR plan.

10 The first respondent contended that by withholding the TCC, the appellant had unilaterally enforced a pre-rescue claim in breach of ss 126 (1), 144 (4), and 146 (2) of the Insolvency Act. These provisions, it submitted, imposed a stay on legal proceedings and any enforcement action against the company or its assets. It maintained that tax claims, like all other debts, must be addressed exclusively through the CRP in terms of

the CR plan. The appellant, as a bound creditor, could not demand payment outside the confines of that plan. The first respondent alleged that using the TCC as leverage to compel payment or to secure a payment arrangement, circumvented the statutory moratorium and subverted the purpose of corporate rescue.

11 The first respondent submitted that the dispute between the parties was not a tax dispute but an insolvency matter, and that the appellant could not rely on its public powers to disregard a private compromise embodied in the adopted CR plan. It invoked ss 121 (1) (a) and 126 (1) of the Insolvency Act, arguing that no creditor may enforce a claim post-rescue. As a matter of public policy, it urged the court to reject the appellant's stance, warning that such conduct would prejudice all companies under corporate rescue and impede resuscitation. It sought a costs order, contending that the appellant had no lawful basis to refuse the TCC.

12 Conversely, the appellant argued that the CRP had improperly excluded its tax claim from the CR plan, despite knowing that current tax compliance was a prerequisite for obtaining a TCC. It argued that the first respondent could have secured a TCC by settling its tax arrears or, at a minimum, making satisfactory payment arrangements in line with s 34C of the Revenue Authority Act. It contended however that those options were foreclosed by the CRP's refusal to admit that it owed the tax claimed and therefore the amounts were not part of the CR plan. The appellant characterised tax debts as *sui generis* due immediately for payment upon assessment, irrespective of whether or not they are challenged.

13 It further argued that the dispute fell squarely within the realm of tax law and that insolvency law did not override tax obligations. The TCC, it asserted, is not essential for business operations, and that in any event the first respondent's predicament stemmed

from its own commercial missteps. It criticised the proposed forty-year repayment plan submitted by the respondent as disingenuous and contended that the CR plan was being weaponised to indefinitely delay tax compliance. The appellant warned that issuing a TCC in such circumstances would set a dangerous precedent for abuse by other companies under corporate rescue. It submitted that the application sought to improperly usurp its administrative discretion, and that the first respondent had not demonstrated entitlement to declaratory relief. As to costs, it contended that its opposition was *bona fide* and not vexatious or frivolous. It argued that if the Court were to find for the respondent it should not, in these circumstances, saddle it with costs. Accordingly, it prayed that the application be dismissed with costs.

DECISION *A QUO*

14 The court *a quo* found that the term "legal proceedings" in s 126 of the Insolvency Act was expanded in subs (1) to include, *inter alia*, an enforcement action against the company or its property under corporate rescue; and that such enforcement was not confined to proprietary interests only but could be directed at the company itself and could be initiated or continued in any forum. The court further noted that the initiation of legal proceedings and enforcement actions included, required the prior written consent of the CRP, which consent had not been granted.

15 The court *a quo* further found that s 34C of the Revenue Authority Act, which governs the issuance of TCCs, does not contemplate a scenario where a company is undergoing corporate rescue. This is because it fails to recognise both the statutory moratorium imposed by the Insolvency Act and the binding effect of an adopted corporate rescue plan. The court therefore found that this issue gives rise to a central question of whether the provisions of the Insolvency Act override those of the Revenue Authority Act under which a TCC is issued. In addressing this issue, the court reaffirmed that where statutory provisions appear to conflict, it is incumbent upon the court to harmonise them, if

possible. However, given that the Insolvency Act is the later enactment, the court held that its provisions take precedence.

16 Having come to the above conclusion, the court *a quo* found that the first respondent had established a legitimate and substantial interest in the issuance of a TCC, particularly in relation to its continued profitability and compliance with statutory and municipal regulatory obligations; that the first respondent, acting through the CRP, had demonstrated a right to the TCC. Further that the refusal to issue a TCC by the appellant amounted to a breach of s 126 of the Insolvency Act as this was an enforcement action perpetrated against a company under corporate rescue. Ultimately it found that the respondent had satisfied the requirements for the granting of declaratory relief and granted the application.

GROUNDS OF APPEAL

17 Aggrieved by the court *a quo*'s decision, the appellant noted the present appeal on the following grounds:

1. The court *a quo* erred and misdirected itself in failing to appreciate that the issuance of a tax clearance certificate was not a legal proceeding or enforcement action within the contemplation of s 126 (1) of the Insolvency Act [*Chapter 6:07*].
2. It consequently erred in not finding that the moratorium imposed by s 126 (1) of the Insolvency Act did not extend to the unconditional issuance of a tax clearance certificate to the first respondent during the subsistence of corporate rescue proceedings.
3. The court *a quo* erred in finding that the withholding of a tax clearance certificate by the appellant amounted to indirect enforcement of payment of tax by the first respondent.

4. The court *a quo* erred and misdirected itself in compelling the appellant to issue a tax clearance certificate to the first respondent in circumstances where the peremptory requirements of its issuance imposed by s 34C of the Revenue Authority Act [*Chapter 23:11*] had not been satisfied.
5. The court *a quo* erred in effectively substituting the administrative decision of the appellant to withhold the tax clearance certificate with its own, in circumstances where the criteria for such had not been met.
6. *A fortiori*, and in any event, the court *a quo* erred in granting final relief to the first respondent where it had not proved a clear right to the tax clearance certificate.

PROCEEDINGS BEFORE THIS COURT

Appellant's Submissions

18 Mr *Banda* for the appellant, argued that the court *a quo* erred in making a finding that s 126 of the Insolvency Act superseded s 34C of the Revenue Authority Act. Counsel submitted that the court *a quo* had asked itself the wrong question and as a result addressed the wrong issue. Counsel submitted that the question was never one of which act is superior to the other. He argued that the critical question which was before the court *a quo* was whether or not the appellant's refusal to issue a TCC to the first respondent on the basis that it had not satisfied the requirements of issuance of the same in terms of s 34C of the Revenue Authority Act, amounted to legal proceedings and/or enforcement action.

19 Counsel submitted that the non-issuance of a TCC was neither a legal proceeding nor an enforcement action. In motivating his argument, counsel relied on the Supreme Court of South Africa's case of *Murray N.O. & Anor* v *Firstrand Bank Ltd* t/a *Wesbank* 2015 (3) SA 438 (SCA) which defined legal proceedings to include only a lawsuit and

enforcement action as being only one carried out in fulfilment of a court order by the sheriff or messenger of court. Counsel insisted that on the strength of the *Murray* case (*supra)* the appellant's conduct did not fall within the ambit of either legal proceedings or enforcement action in breach of s 126 of the Insolvency Act.

20 Counsel further argued that the CR plan did not incorporate a payment plan to pay for the arrears owed to the first respondent as the CRP had denied that the company owed the appellant any tax. Counsel contended that the first respondent failed to establish before the court *a quo* that it was entitled to a TCC as it is only where the CRP proved its entitlement to a TCC that the court *a quo* could grant the declarator sought. Counsel contended further that the court *a quo* erred in granting a perpetual right to a TCC in favour of the first respondent for the period when it is under corporate rescue. According to counsel, a TCC is not automatically given but a right that can only be activated after satisfying the requirements for granting a TCC under s 34C of the Revenue Authority Act and that being under corporate rescue did not exempt the first respondent from complying with the law.

First respondent's Submissions

21 Mr *Mubaiwa*, for the first respondent, submitted that the appeal was without merit and that it ought to be dismissed on the narrow issue on which the appeal had been argued by the appellant. He, however, raised the point that the import of the appellant's first ground of appeal was that the court *a quo* did not deal with the issue which was placed before it, that is, whether or not s 126 of the Insolvency Act entitled an entity under corporate rescue to be issued with a TCC. He argued that such a contention rendered the relief sought incompetent as the correct relief would have been the setting aside of the judgment *a quo* and a remittal of the case to the court *a quo* for a hearing *de novo*.

22 The Court inquired from Mr *Mubaiwa* whether the question raised in the first ground of appeal related to the fact that the court *a quo* did not deal with an issue placed before it at all or that the court *a quo* in dealing with the issue, did not properly relate to it. In response, he submitted that if that was the import of the first ground of appeal, the appellant had then abandoned the ground as it was not motivated in the appellant's heads of argument. He argued that its interpretation of the ground was correct and as such the relief sought was defective rendering the notice of appeal a nullity.

23 On the merits, counsel submitted that the appellant's refusal to issue the first respondent with a TCC was an enforcement action. He argued that the appellant had made it clear that a TCC would only be issued if the first respondent paid the arrear tax or provided a payment plan. It was contended that the withholding of the TCC was meant to solicit payment of arrear tax obligations from the first respondent and thus amounted to an enforcement action. He argued that the first respondent was entitled to the TCC since it had made sufficient undertaking in the payment plan to pay US$252 000.00 per month in a bid to extinguish its arrear tax obligations. It was further argued that the first respondent was honouring its commitment by paying the said amount to the appellant every month.

24 Mr *Mubaiwa* argued further that the appellant is not entitled, during corporate rescue proceedings, to take any action which requires the payment of a pre-corporate rescue tax debt irrespective of whether such action is a legal proceeding or not. For this proposition, he relied on *Henque 3935 CC t/a PQ Clothing Outlet* v *Commissioner for the South African Revenue Service* [2025] ZASCA 56. He submitted that in that case, the court was dealing with the question of whether the South African Revenue Service (SARS) could set-off *Henque* 3935 CC's (entity under rescue) pre-business rescue tax debt

against a tax refund due to the corporate. He argued that the *Murray*'s case was distinguishable as it related to the question whether cancellation of a contract between two private entities was an enforcement action.

25 Counsel argued that it was not true that there was no payment plan to pay off the tax obligation as it was part of the CR plan approved by the appellant. He submitted that it was incorrect for the appellant to allege that the court *a quo* had made an order for the perpetual issuance of a tax clearance certificate every year until the corporate rescue was lifted. He stated that the order only related to the year under consideration. He thus sought an order for striking the matter off the roll on the basis that the notice of appeal was fatally defective and a dismissal of the appeal on the merits.

Appellant's Reply

26 In response, Mr *Banda* submitted that objections raised on the validity of the notice of appeal were without merit. He submitted that the first ground of appeal was motivated in paragraphs 8 to 12 of the appellant's heads of argument. He argued that paragraphs 6 and 7 were a preamble to the issue at hand which is then dealt with in paras 8 to 12. He submitted that the ground had therefore not been abandoned. He insisted that the *Murray* case, whilst dealing with a different set of facts, remained relevant as it interpreted the phrase 'legal proceeding and enforcement action.' He denied that the case of *Henque* 3935 CC *(supra*) was relevant in *casu.* On the issue of the payment plan he denied that the amount in question was covered by the CR plan as the CRP had offered, when requested to comply with s 34C of the Revenue Act, a payment plan that spanned over forty years. He also submitted that the order spoke for itself as, in its consequential relief, it gave the respondent a perpetual right to be issued with a TCC as long as it was under corporate rescue.

ISSUES FOR DETERMINATION

27 Three issues arise for determination from the grounds of appeal and the submissions by the parties. These are:

1. Whether or not the notice of appeal is fatally defective;
2. Whether or not the appellant abandoned its first ground of appeal; and
3. Whether the court *a quo* erred in granting the declarator in favour of the respondent.

ANALYSIS

Whether or not the notice of appeal is fatally defective

28 The first respondent argued that the appellant's first ground of appeal alleged that the court *a quo* did not determine an issue that had been placed before it. It however, in its relief seeks the overturning of the judgment *a quo* and substitution thereof with an order dismissing the first respondent's application for a declarator. The first respondent argued that the relief sought is defective because it does not seek a remittal of the matter to the court *a quo* yet the ground raises an issue that the court *a quo* did not deal with the real issue between the parties.

29 The point raised by the first respondent arises from a misplaced interpretation of the first ground of appeal. The ground reads:

> "1. The court *a quo* erred and misdirected itself **in failing to appreciate** that the issuance of a tax clearance certificate was not a legal proceeding or enforcement action within the contemplation of s 126(1) of the Insolvency Act [*Chapter 6:07*]. (Emphasis added)

30 It is difficult to comprehend why Mr *Mubaiwa* would interpret the ground to mean that the court *a quo* did not engage the issue at all. The use of the phrase "failing to appreciate" in the ground clearly implies that the issue was considered but not to the appellant's satisfaction. Once the appellant alleged that the court *a quo* "failed to

appreciate" it follows that the court is alleged to have engaged the issue but failed to understand its import. It is that failure to understand its import that the appellant is attacking. The relief sought by the appellant is therefore consistent with the first ground of appeal and the notice of appeal is therefore not fatally defective. The issue requires no further consideration.

Whether or not the appellant abandoned its first ground of appeal

31 Mr *Mubaiwa* conceded at the onset that the determination of the first ground of appeal is dispositive of the appeal. He further conceded that the point on the abandonment of the first ground of appeal had not been properly raised. The first respondent, knowing that the first ground of appeal is central to the determination of the appeal, vainly attacked the existence of that ground without success.

32 It is not correct that the appellant did not address the issue in its heads of argument. Mr *Banda* was correct when he submitted that the ground was extensively motivated in paragraphs 8 to 12 of the appellant's heads of argument. The ground cannot therefore be considered as abandoned. Mr *Banda* stated that although paragraphs 6 and 7 of the appellant's heads appeared to contradict the first ground, they were merely introductory and did not detract from the firm position set out in paragraphs 8 to 12. Indeed, an examination of the above paragraphs shows that the appellant did in fact argue the issue raised in ground 1. It is without doubt that the appellant did not abandon its first ground of appeal. The appellant's heads of argument are clear in that respect.

Whether the court *a quo* erred in granting the declarator in favour of the respondent.

33 Both parties were agreed that the appeal was resolvable on the issue of whether or not the non-issuance of a TCC by the appellant to the first respondent amounted to an enforcement action within the contemplation of s 126 (1) of the Insolvency Act. As was

aptly stated by Mr *Banda*, if this Court answers the question in the negative, the entire appeal will succeed and it would not be necessary to motivate the other grounds of appeal.

34 It was the appellant's firm position that the withholding of a TCC in respect of an entity under corporate rescue is not an enforcement action. It further argued that whilst s 126 of the Insolvency Act imposes a moratorium on legal proceedings and any enforcement action, it does not vest distressed companies with an automatic right to fiscal absolution as there was a need to comply with the Revenue Act.

35 The determination of this appeal therefore lies squarely on the interpretation of s 126 (1) of the Insolvency Act. The provision reads:

> "**126 General moratorium on legal proceedings against company**
>
> (1) During corporate rescue proceedings, **no legal proceeding**, **including enforcement action**, against the company, or in relation to any property belonging to the company, or lawfully in its possession, may be commenced or proceeded with in any forum, except —
>
> (a) with the written consent of the practitioner; or
> (b) with the leave of the Court and in accordance with any terms the Court considers suitable; or
> (c) as a set-off against any claim made by the company in any legal proceedings, irrespective of whether those proceedings commenced before or after the corporate rescue proceedings began; or
> (d) criminal proceedings against the company or any of its directors or officers; or
> (e) proceedings concerning any property or right over which the company exercises the powers of a trustee; or
> (f) proceedings by a regulatory authority in the execution of its duties after written notification to the corporate rescue practitioner.
>
> (2) During corporate rescue proceedings, a guarantee or surety by a company in favour of any other person may not be enforced by any person against the company except with leave of the Court and in accordance with any terms the Court considers just and equitable in the circumstances.
>
> (3) If any right to commence proceedings or otherwise assert a claim against a company is subject to a time limit, the measurement of that time must be suspended during the company's corporate rescue proceedings."(Emphasis added)

36 It is clear that the moratorium embodied in this provision serves as the cornerstone of the entire rescue process. It operates as a temporary suspension of creditors' rights to institute legal proceedings or enforce claims against a company in distress, thereby creating the necessary space for rehabilitation and restructuring to occur free from the immediate pressures of litigation. The appellant clearly did not institute legal proceedings against the respondent. The question that arises is whether its actions amounted to an enforcement action. This leads to a need to define what is meant by enforcement action. The term is not defined in the statute.

37 The South African Supreme Court of Appeal case of *Murray N.O. & Anor* v *Firstrand Bank Ltd t/a Westbank* 2015 (3) SA 438 (SCA) at para 32 had occasion to consider the meaning of enforcement action within the context of the moratorium imposed by s 133 of the South African Companies Act 71/2008 (the Act) a provision substantially similar to s 126 of our Insolvency Act. In its judgment the South African Supreme Court remarked:

> "As to the meaning of the phrase 'enforcement action', in my view Wesbank correctly submitted that, in our legal parlance, 'enforce' or 'enforcement', usually refers to the enforcement of obligations. In the context of s 133 (1) of the Act, it is significant that reference is made to 'no legal proceeding, including enforcement action'. (My emphasis.) The inclusion of the term 'enforcement action' under the generic phrase 'legal proceeding', seems to me to indicate that 'enforcement action' is considered to be a species of 'legal proceeding' or, at least, is meant to have its origin in legal proceedings. This conclusion is strengthened by the fact that s 133 (1) provides that no legal proceeding, including enforcement action, 'may be commenced or proceeded with in any forum'. (My emphasis.) A 'forum' is normally defined as a court or tribunal (see *the Concise Oxford Dictionary* 12 ed (2011) and its employment in s 133 (1) conveys the notion that 'enforcement action' relates to formal proceedings ancillary to legal proceedings, such as the enforcement or execution of court orders by means of writs of execution or attachment."

38 It is apparent from the above quote that the court was satisfied that *"*enforcement action*"* refers to formal legal measures taken to compel compliance with a legal obligation. Such actions are either a subset of legal proceedings or closely connected to them, originating

from the judicial process. Notably, s 126 prohibits these actions from being initiated or continued with in any forum, a term understood to mean any court or tribunal. This, the court reasoned, underscores that enforcement action contemplates formal, court-driven mechanisms aimed at giving effect to existing rights. Accordingly, the moratorium does not merely bar the initiation of fresh litigation, it also suspends any on-going legal processes intended to enforce claims through judicial means. It is, in our view, necessary to set out the South African legislation which is equivalent to our s 126 for comparative purposes so that it becomes apparent that the provisions are substantially the same. Section 133 of the Act, reads as follows:

> "**General moratorium on legal proceedings against company**
>
> (1) During business rescue proceedings, no legal proceeding, including enforcement action, against the company, or in relation to any property belonging to the company, or lawfully in its possession, may be commenced or proceeded with in any forum, except—
>
> (a) with the written consent of the practitioner;
>
> (b) with the leave of the court and in accordance with any terms the court considers suitable;
>
> (c) as a set-off against any claim made by the company in any legal proceedings, irrespective of whether those proceedings commenced before or after the business rescue proceedings began;
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> (d) criminal proceedings against the company or any of its directors or officers;
>
> (e) proceedings concerning any property or right over which the company exercises the powers of a trustee; or
>
> (f) proceedings by a regulatory authority in the execution of its duties after written notification to the business rescue practitioner.
>
> (2) During business rescue proceedings, a guarantee or surety by a company in favour of any other person may not be enforced by any person against the company except with leave of the court and in accordance with any terms the court considers just and equitable in the circumstances.
>
> (3) If any right to commence proceedings or otherwise assert a claim against a company is subject to a time limit, the measurement of that time must be suspended during the company's business rescue proceedings."

As can be noted, the court was interpreting a provision which mirrors, almost in exact language, s 126 of the Insolvency Act. In our view the appellant was correct when it submitted that it had not taken any enforcement action and that stance is in sync with the interpretation given by the South African court.

39 It cannot be over-emphasised that the obligation to pay taxes is a statutory imperative borne by every taxpayer and arises not by contract or judicial decree, but by operation of law. It is a fundamental civic duty, inescapable, continuous, and owed to the fiscus as a matter of legal obligation. This duty does not originate in litigation; rather, it is an *ex lege* obligation that exists independently of any enforcement mechanisms the State may invoke for its collection as permitted by s126 (1) (f) of the Insolvency Act.

40 Within this framework, the appellant performs the administrative function of ensuring compliance with tax legislation. Its mandate is to assess, collect, and account for revenue due to the State. While this may involve the issuance of notices, assessments, or demands for payment, such acts fall squarely within the regulatory and administrative ambit of tax collection, not within the realm of enforcement action as contemplated under s 126 (1) of the Insolvency Act. As mentioned earlier, the essence of "enforcement" lies in invoking the coercive power of the courts to compel compliance with a legal obligation. This typically involves litigation or the execution of judicial orders, such as obtaining judgments or attaching property.

41 By contrast, the appellant's routine administrative actions, including the determination of tax liability, issuance of assessments, demanding notices, and even the collection of taxes through non-litigious means, do not meet the threshold of "enforcement action" as articulated in *Murray* (*supra*). These acts are regulatory in character; they are necessary precursors to enforcement but are not, in themselves, enforcement actions. They do not trigger the protective moratorium envisaged under s 126 of the Insolvency Act but appear rather to fall into the exceptions set out in s 126 (1) (f).

42 At this juncture, it is imperative to be reminded that courts are not at liberty to re-write legislation under the guise of interpretation; rather, courts are guided first and foremost by the ordinary, grammatical meaning of the text. Only where such meaning produces a result so unreasonable as to border on the absurd, are courts permitted to summon broader interpretive tools in the pursuit of justice. In *Zimbabwe Revenue Authority* v *Mukahiwa* SC 64/24 at p 6 UCHENA JA reiterated the sentiments expressed by MATHONSI JA in *John Basera* v *The Registrar of the Supreme Court of Zimbabwe & Ors* SC 35/22 where he aptly remarked:

> "The resolution of the matter involves a purely interpretative exercise. On a literal interpretation, "if the words of a statute are clear then one must follow them even if they lead to a manifest absurdity. The court has nothing to do with the question whether the legislature has committed an absurdity." See *R* v *Judge of the City of London Court* [1892] 1 QB 273 at 290, and *Chegutu Municipality* v *Manyora* 1996 (1) ZLR 262 (S) at 264D-E."

As has been shown, a literal interpretation of s 126 does not lead to an absurdity. It must therefore be applied as is. It is for the legislature to step in and amend the legislative provision if the interpretation does not reflect its intention.

43 The respondent sought to rely on the case of in *Henque 3935 (supra).* In our view this case does not take the respondent's case any further. The issue to be resolved in that case was whether the tax liability in issue had arisen before or after the commencement of business rescue proceedings of the appellant.

44 *In casu,* the question does not arise as the issue rests purely on the interpretation of the term enforcement action which is used in s 126 of the Insolvency Act. Whilst the court in *Henque 3935 (supra)* accepted that once a company is in business rescue there is a moratorium on legal proceedings including enforcement actions, it left the question of what constitutes an enforcement action unanswered as it was not necessary for the disposition of the case.

DISPOSITION

45 To characterise the appellant's decision as an enforcement action is to miscomprehend both its form and function. The appellant's refusal to issue the TCC was not an act of enforcement but a lawful administrative consequence of unsatisfied tax obligations demanded by s 34C of the Revenue Act. It adhered to the statutory framework obligating it to withhold tax clearance certificates where the respondent had failed to meet the basic requirements for the issuance of a TCC. In the fullness of our consideration, no exceptional cause arises to tether the appellant to fault or reproach so that it forfeits its entitlement to costs.

46 Accordingly, it is ordered as follows:

1. The appeal succeeds with costs.
2. The judgment of the court *a quo* is set aside and is substituted with the following:

"The application is hereby dismissed with costs."

CHATUKUTA JA : (LATE)

MUSAKWA JA : I agree

Zimbabwe Revenue Authority Legal Division, appellant's legal practitioners.

Maguchu & Muchada Business Attorneys, 1st respondent's legal practitioners.